

Where a Mandate Has Failed Before

Regulation creates a market only when the rule is in force, the population is named and the obligation is one nobody can wait out. Two recent mandates failed at least one of those tests and took vendors down with them. What follows is what went wrong in each, which parts of the plan are exposed to the same failure, and the one test this regime does not pass.

90%	5	IN FORCE	NO DATE
CUT TO EUROPEAN REPORTING SCOPE	TIMES THE UK TAX MANDATE WAS DELAYED	STATUS OF THE DUTY THE PLAN SELLS AGAINST	SET FOR A FIRST INDEPENDENT REVIEW

1 Two mandates that did not pay, and why

The scope was cut after vendors had built The population fell by about 90 per cent. European sustainability reporting was adopted over a population of roughly 50,000 companies, then cut to an expected 5,000 to 6,000 filers. Firms outside the bloc fell further, from roughly 10,000 to about 1,200. FINGREEN shut down all operations when the scope collapsed. The lesson: a population a legislature can shrink by ninety per cent is not a denominator.	The date moved, five times Making Tax Digital for Income Tax was delayed five times across the life of the programme. Suppliers withdrew, and the deferrals produced written off vendor investment because capacity was hired against dates that did not arrive. The lesson: build against a duty already in force, not one still being consulted on.
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SOURCES ON THIS PAGE

Source	What it carries	Class
Verdantix, sustainability reporting scope	Scope cut from more than 50,000 expected filers to 5,000 to 6,000. Open	Secondary
Silicon Canals, FINGREEN	FINGREEN shut down all operations when reporting scope collapsed. Open	Secondary
ICAEW, Making Tax Digital for Income Tax	Delayed five times over the life of the programme. Open	Secondary

2 The same tests, applied to this regime

Test	European reporting	UK digital tax	The Canadian safeguarding duty
Is the rule in force?	Adopted, then amended before most filers reported	Repeatedly deferred	In force since 8 September 2025, with no transition remaining
Is the population named?	Estimated from employee and turnover thresholds	Estimated from a turnover threshold	Named on a public register carrying a holding of funds flag
Can scope be cut quickly?	Yes, and it was, by about 90 per cent	Scope narrowed alongside each delay	Would require amending a regulation already in force and being enforced
Has enforcement started?	Limited	Not applicable	First order issued 17 February 2026, amended 27 February, with public naming from 12 June 2026
Is there a fixed dated event that forces the purchase?	No single dated event	Filing dates moved with each delay	No. The regulation sets an independent review at least once every three years and names no first date. This regime does not pass this test

Legend. The Canadian column describes the safeguarding regime under the Retail Payment Activities Regulations only. It does not describe the other Canadian obligations discussed overleaf, which carry different and weaker status.

The last row changed on 17 August 2026, and it changes the argument

This table previously answered the last test with 8 September 2028, reading three years back. Section 17 of the regulation was read in full and contains no such date. So this regime clears three of the five tests cleanly, is strong on the fourth, and fails the fifth. It has what the failed mandates lacked, which is a named population and a rule in force. It does not have what they also lacked, which is a single dated event that pulls a whole population onto software at once.

The planning consequence is real and it should be stated rather than argued away. Every precedent showing double digit capture had a filing date to cluster around. This one does not. What it has instead is a duty that falls due every day and has already fallen due 344 times, which produces steady pressure rather than a wave. Revenue is therefore less likely to arrive in a spike and more dependent on the channel pulling it forward, which is the exposure named in 02.3.

3 What in the plan is exposed to the same failure

Universal enrolment with FINTRAC	Has no effective date. It comes into force in line with regulations still to be developed, and no roadmap has been published. No revenue, hiring or market size claim depends on it.
Canadian dollar stablecoin issuers	A register is contemplated but none exists today, so no issuer can be counted. The enabling regulations have not published. Nothing is modelled before 2028.
Consumer driven banking participants	The count rests on a government expectation of participants rather than on a register, so the population is an expectation and is graded as such. The access dates commonly quoted for this regime do not appear in any government source and are not used here.

4 What would have to happen for the core case to fail

The regulation is amended

It would take an amendment to SOR/2023-229 removing or deferring the safeguarding duty, made after the duty has been in force for a year and after the supervisor has begun enforcing it. The daily duty and the annual report sit in separate provisions. Amendments appear in the Canada Gazette, Part II.

A review is met without software

It would take reviewers accepting evidence reconstructed after the fact as equivalent to a contemporaneous daily record. The guideline asks for a ledger showing each end user's funds at the end of every day and for evidence a reviewer can open and trace. This compresses the reconstruction line rather than the subscription.

The population turns out smaller

It would take registrants surrendering the holding of funds flag by restructuring so that a bank holds the money instead. This moves the denominator directly and is the risk with the clearest path from cause to number. The register is public and carries the flag, so the count is refreshed rather than estimated.

The first review arrives later than assumed

Added 17 August 2026. Because the regulation sets an interval and not a first date, the timing of a first review is set by the supervisor's own cycle. It can arrive earlier than three years as easily as later. Any plan that depends on knowing when it lands is depending on something not written down.

5 What this document does not claim

That regulation guarantees a market

The two cases on page one show the opposite. A mandate creates a market only where the rule holds, the population is countable and somebody builds distribution.

That the comparison is causal

European reporting and United Kingdom digital tax are analogies. They describe how mandates have behaved, not how this one must behave.

That any regulator endorses a vendor

No Canadian regulator has approved, endorsed or recommended any product, including this one. Nothing in this folder should be read as suggesting otherwise.

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Source	What it carries	Class
SOR/2023-229	Section 15, the daily ledger. Section 17, the independence requirement and the three year interval, with no first date. Open	Primary
Bank of Canada, safeguarding end user funds	The ledger, reconciliation, reliance boundaries, and the evidence a reviewer must be able to open and trace. Open	Primary
FINTRAC, changes to the regime	Universal enrolment comes into force in line with regulations to be developed, with no date set. Open	Primary